Executive Summary

This analysis examined customer purchasing behavior to identify the drivers of loyalty, customer value, and promotional dependency. Using customer transaction history, satisfaction ratings, purchase frequency, and promotional engagement, we developed business-focused metrics including Dependency Score, Value Tier, and Satisfaction Flag to distinguish high-value customers from discount-driven buyers.

Key Findings

1. Customer value is driven by engagement, not discounts. Customers with the highest value tiers consistently exhibited stronger repeat purchase behavior, higher satisfaction levels, and greater subscription participation. These customers generated significant revenue while showing limited reliance on promotional incentives.

2. A meaningful portion of revenue is promotion-dependent. Customers with high Dependency Scores demonstrated lower long-term engagement and weaker repeat purchase patterns. This suggests that a share of current sales volume is being sustained through discounts rather than genuine brand loyalty.

3. Geographic opportunities exist beyond top-selling regions. Several locations showed strong spending behavior despite lower promotional dependency, indicating markets where the brand has authentic demand and could scale efficiently through targeted acquisition efforts.

4. Product categories play different roles in the customer journey. Some categories attract newer customers and function as acquisition channels, while others are associated with higher previous purchase counts and stronger retention behavior. This distinction can be used to optimize merchandising and marketing investments.

Strategic Recommendations

Promotional Sunset Plan Gradually reduce discount exposure for Premium Value customers with low promotional dependency and strong repeat purchase history. Replace blanket discounts with loyalty-based benefits, exclusive access, and personalized offers. Success should be measured through repeat purchase rate, revenue retention, and average order value.

Ideal Customer Acquisition Strategy Prioritize acquisition of customers who resemble the brand's highest-value segment: highly satisfied repeat purchasers with strong spending patterns and low dependence on discounts. Marketing efforts should emphasize product quality, customer experience, and loyalty benefits rather than price-based promotions.

Business Impact

By shifting from broad discounting to targeted retention and acquisition strategies, the brand can improve profitability, strengthen customer lifetime value, and build a more sustainable customer base without sacrificing long-term growth.